

Slow starters

Some countries benefit from globalization more than others. Of course, globalization has opened up a wide market, giving poorer countries a huge number of potential customers for their products. But unless they have a valuable natural resource, such as oil or gold, which is scarce elsewhere, they'll have to compete with other countries to buy raw materials or to sell manufactured products. The trouble is that in the global marketplace, the poorer developing countries start at a disadvantage compared to the richer, industrialized countries. They may be mainly agricultural or mining countries, with little or no manufacturing industry. And because they have no modern machinery, they can't exploit their natural resources as efficiently and cheaply as developed countries. To compete, they lower their prices and make less profit. As a result, the workforce is poorly paid, and there's little money to develop the industries that would help their economies grow.

A helping hand

It's not that these countries have nothing to offer the developed world. Some are rich in natural resources, and all have human resources in the form of people willing to work. But they haven't found ways to make their businesses efficient and productive. This is where companies in the developed world can help. Multinational corporations can provide the machinery, infrastructure, and technology that developing countries need by setting up industries there, using the natural resources available and employing local labor. This arrangement benefits both the company and the host country. The company gains easy access to resources and cheap labor, and in return brings modern industry and investment to the local economy. In many places, foreign businesses have transformed poor rural communities into modern industrial towns, and people have been lifted out of poverty by the chance to earn regular wages.